

early to mid-1996, at 37+. Those tops either peak at the confirmation line or show congestion at or above that price.

In other words, the peaks highlight a resistance zone right above the breakout. In fact, the overhead resistance is so strong that it turns back price in mid-1998 (not shown). This double bottom gained just 3% before tumbling 47%.

On the fundamental side, the company warned in mid-September that full-year earnings would fall about 20%, although the company raised its dividend. A broker downgraded the stock. The stock gapped lower (breakaway gap) on the news.

Did the smart money know about all of this near confirmation? If so, then perhaps they started selling, trying to exit before everyone else learned of the news.

In a moment, we'll see that the 5% failure rate for this chart pattern is 12%. To flip that around, you have an 88% chance of avoiding a 5% failure. You can still botch the trade or wait long enough for a losing position to turn into a winning one. How you trade the stock is up to you.

Before you buy, make sure you understand the risks, both technical and fundamental. Be wary of buying a stock within three weeks of an earnings announcement. I learned that lesson the hard way. There are lots of other checks you can make, but let's focus on the numbers.

Statistics

[Table 28.2](#) shows general statistics.

Number found. Eve & Adam double bottoms are the rarest variation of the four Adam/Eve combinations, as I mentioned. I found only 855 of them in 539 stocks but that includes bear market patterns. Those were too few to include in the statistics. The first double bottom in the study appeared in July 1991, and the most recent was in February 2020. Not all stocks covered the entire time, and some no longer trade.

Reversal (R), continuation (C) occurrence. By definition, this bottom pattern acts as a reversal of the price downtrend.